Entitlement theory and famines

It is often believed that famines are caused by shortages of food such as those following harvest failures. In the early 1980s, Indian economist Amartya Sen developed his entitlement theory, showing that the causes of famines are in fact more complex. In this theory, ‘entitlements’ are the set of goods and services that households are able to obtain either through producing them, buying them or receiving them from the government. Even in poor countries many people do not produce their own food – they earn wages which they use to buy food, and the balance of wages against the price of food largely determines their entitlements to food. Famines can occur when entitlements fall below the minimum amount of food needed to survive. This can be caused by falling wages or rising prices, rather than by actual reductions in local food production. This is what happened in a famine in Bengal in the 1940s where wages fell behind food inflation – the price trends were more important than changes in overall food supply.